

External Influences on Business

Knowledge Organiser · GCSE + A-Level Business · print-friendly A4

THE SIX EXTERNAL INFLUENCES — AT A GLANCE

Economic climate	Interest rates, inflation, employment and consumer spending. Changes how much customers can spend and how much borrowing costs.	Rate rises hit big-ticket sellers (cars, sofas) before everyday low-price sellers.
Legislation	Laws businesses must follow: employment, consumer protection, health & safety, data protection, competition law.	National Living Wage £12.71/hour (from April 2026) raises staffing costs in labour-intensive sectors.
Technology	E-commerce, automation, digital marketing, payment systems — plus the new risks that come with them.	M&S cyber attack 2025: online orders suspended for 46 days, estimated ~£300m operating-profit hit.
Competitive environment	How many rivals there are, how big they are, and whether they compete on price or on other things.	Aldi holds ~10.2% of UK grocery spend (Kantar, Jan 2026) with a range of only ~1,800 lines.
Globalisation	Selling to, buying from and competing with the whole world — not just the home market.	Gymshark (founded Birmingham, 2012) sells to ~230 countries, mostly online.
Ethics & environment	Doing what is right for workers, suppliers, communities and the planet — sometimes at a cost to short-term profit.	Divine Chocolate is part-owned by the cocoa farmers who supply it.

WHERE THIS SITS IN YOUR SPEC

GCSE	AQA 8132 §3.2 Influences on business (3.2.1 technology, 3.2.2 ethical & environmental, 3.2.3 economic climate, 3.2.4 globalisation, 3.2.5 legislation, 3.2.6 competitive environment) · Edexcel 1BS0 §1.5 Understanding external influences · Cambridge IGCSE 0450 external influences topics
A-Level	AQA 7132 §3.7.4–3.7.7 (political/legal, economic, social/technological and competitive environment) · Edexcel 9BS0 Theme 2 §2.5 External influences (2.5.1 economic, 2.5.2 legislation, 2.5.3 competitive environment)
How to use	Print one per student as a topic reference; use the quiz on page 5 as a do-now or exit ticket; the detail cards on pages 2–4 give one real example per influence for written answers.

One idea runs through this whole topic: **external influences are outside the business's control — but the response is not.** Exam answers score for the response, not the event.

Economic climate + Legislation

External Influences on Business · detail cards 1–2

1 · THE ECONOMIC CLIMATE

What it covers	Interest rates (the cost of borrowing and the reward for saving), inflation (rising prices), employment levels, and how confident consumers feel about spending.
When interest rates rise	Borrowing costs more → businesses delay investment in new shops, machinery or expansion. Households with mortgages have less to spend → demand falls. The effect is uneven: everyday low-price purchases barely move, while big-ticket items (cars, sofas, kitchens) are often postponed first.
When inflation rises	A business's own costs (ingredients, energy, wages) climb. It must choose: pass the increase to customers and risk losing sales, or absorb it and accept a thinner profit margin. Which option is right depends on how price-sensitive its customers are.
Exam angle	The economic climate never affects all businesses equally. Top answers pick out which business is hit hardest and explain why — a discount grocer can gain customers in a downturn while a luxury brand loses them.

2 · LEGISLATION

What it covers	Employment law (minimum pay, contracts, working conditions) · consumer protection (goods must be as described and fit for purpose) · health & safety · data protection · competition law.
Real example — pay law	The National Living Wage is £12.71 per hour from April 2026. For labour-intensive businesses — cafes, shops, care providers — this is a direct rise in costs. Typical responses: improve productivity, automate some tasks, raise prices slightly, or accept lower margins.
Real example — data law	Businesses that hold customer data have legal duties to protect it. In the 2025 M&S cyber attack, personal data belonging to up to 9.4 million customers was accessed — a reminder that data protection is a legal risk as well as a technical one.
Exam angle	Legislation is not only a cost. Meeting a law well (safety, fair pay, honest labelling) can become a selling point, while breaking it brings fines and reputation damage that usually cost far more than compliance.

PUT IT TO WORK — WHO WINS IN A DOWNTURN?

Likely winners	Discount retailers (customers 'trade down' to cheaper alternatives), repair services (fix it rather than replace it), own-brand product lines.
Likely losers	Sellers of big-ticket postponable purchases (cars, kitchens, holidays), luxury brands, businesses whose customers buy on credit.
The lesson	Never write 'a downturn is bad for businesses'. Say which business, and trace the mechanism from the customer's pocket to the firm's revenue.

Technology + The competitive environment

External Influences on Business · detail cards 3–4

3 · TECHNOLOGY

What it covers	E-commerce (selling online), automation of production and service, digital marketing and social media, payment systems — and the cyber risk that arrives with all of them.
Opportunity side	Technology lowers the cost of reaching customers: a small brand can sell worldwide from one warehouse, and social media marketing can outperform expensive TV campaigns at a fraction of the price.
Risk side — real example	Marks & Spencer, April 2025: a ransomware attack forced M&S to suspend online orders for 46 days, with an estimated ~£300m hit to operating profit. Contingency planning — asking 'what do we do if systems go down?' before it happens — is part of managing technology, not an optional extra.
Exam angle	Strong answers treat technology as a two-sided influence: the same trend that creates an opportunity for one business creates a threat for a rival that is slower to adapt.

4 · THE COMPETITIVE ENVIRONMENT

What it covers	The number and size of rivals, how easy the market is to enter, and whether firms compete on price or on non-price factors (quality, brand, service, range, convenience).
Real example	Aldi holds around 10.2% of UK grocery spend (Kantar, January 2026) while stocking only ~1,800 product lines — against ~30,000 in a typical big-four supermarket. The narrow range keeps Aldi's costs low, which lets it hold prices down and forces rivals to respond with their own price cuts and 'price match' schemes.
Price vs non-price	When one rival competes hard on price, others often choose not to fight on price at all — they compete instead on quality, loyalty schemes, brand or service, where a low-cost rival finds it harder to follow.
Exam angle	'More competition' does not automatically mean 'lower prices'. Say how the business competes — matching prices, or differentiating — and what that choice does to its profit margin.

HOW CARDS 3 AND 4 CONNECT

Tech lowers barriers to entry	E-commerce means a new rival no longer needs a chain of shops to compete — so technology change often makes the competitive environment tougher.
Tech sharpens price competition	Customers compare prices in seconds online, which makes it harder to charge more than rivals for the same thing — and makes non-price differences more valuable.
Tech failure is a competitive gift	When one retailer's website goes down, customers don't stop shopping — they buy from a rival whose site works. An outage is rarely just a technology problem.

Globalisation + Ethics and the environment

External Influences on Business · detail cards 5–6

5 · GLOBALISATION

What it covers	Selling to customers abroad, sourcing materials and products from other countries, and facing competitors from anywhere in the world — all made easier by e-commerce and cheaper transport.
Real example	Gymshark was founded in Birmingham in 2012 by a 19-year-old and now sells to around 230 countries, mostly online. Globalisation is not only for giant companies — a strong brand plus e-commerce can go global fast.
Exchange rates (A-Level)	A weaker pound makes imports dearer (bad for a retailer buying stock abroad) but makes UK exports cheaper for foreign buyers (good for a UK firm selling overseas). The same movement helps one business and hurts another.
Exam angle	Always ask: does this business import , export , or both? The answer decides whether a global trend is an opportunity or a threat for it.

6 · ETHICS AND THE ENVIRONMENT

What it covers	Treating workers and suppliers fairly, honest marketing, environmental impact (waste, packaging, emissions) — and the trade-off between doing the right thing and short-term profit.
Real example	Divine Chocolate is part-owned by the cocoa farmers who supply it, so farmers share the profit their beans create. Ethical structure IS the brand — it is the reason many customers choose it over cheaper bars.
The trade-off	Ethical and environmental choices often raise costs (better pay, greener materials). The payoff is loyalty, reputation and press coverage money can't easily buy — and the avoided cost of boycotts and scandal when things go wrong.
Exam angle	Avoid 'being ethical is good for business' as a bare claim. Show the mechanism: ethical choice → higher cost BUT stronger loyalty/reputation → the judgement depends on the business's customers and margins.

EXAM TRICK — ONE EVENT, SEVERAL INFLUENCES

M&S cyber attack (2025)	Technology (systems down 46 days) + legislation (legal duties over customer data) + competitive environment (rivals with working websites pick up the sales).
A National Living Wage rise	Legislation (higher wage bill) + economic climate (millions of workers also have more to spend — some businesses gain customers from the same law that raised their costs).
Why it scores	Linking two or more influences to the same event shows analysis, not memorisation — it is one of the quickest routes into the top band.

Key terms, retrieval quiz + common mistakes

External Influences on Business · practice page

KEY TERMS

Interest rate	The cost of borrowing money, and the reward for saving it.
Inflation	A sustained rise in the general level of prices.
Consumer income	The amount of money consumers have available to spend.
Exchange rate	The price of one currency in terms of another.
National Living Wage	The legal minimum hourly pay for workers aged 21+ (£12.71 from April 2026).
Consumer protection law	Laws requiring goods to be as described, safe and fit for purpose.
Automation	Using machines or software to do tasks previously done by people.
E-commerce	Buying and selling online.
Barriers to entry	Factors that make it hard for new rivals to enter a market.
Non-price competition	Competing on quality, brand, service or range instead of price.
Globalisation	The growing integration of markets and production across countries.
Business ethics	Moral principles guiding how a business behaves beyond what law requires.
Contingency plan	A prepared plan for what to do if something goes wrong (e.g. systems go down).
Pressure group	An organisation that tries to influence business or government behaviour.

RETRIEVAL QUIZ — 6 QUESTIONS

1.	Name two costs to a business of a rise in the National Living Wage, and one possible response.
2.	Explain why a rise in interest rates hits a furniture retailer harder than a discount bakery chain.
3.	Using M&S (2025), explain one risk that comes with relying on online sales.
4.	How does Aldi's ~1,800-line range help it compete on price against rivals stocking ~30,000 lines?
5.	Give one way a weaker pound helps a UK business and one way it hurts a different UK business.
6.	State two non-price ways a supermarket could respond to a low-cost competitor.

COMMON MISTAKES TO AVOID

X	'Interest rates affect every business the same.' They don't — impact depends on how much the firm borrows and whether its product is a postponable big-ticket purchase.
X	'Legislation is just a cost.' Compliance done well becomes a selling point; breaking the law costs more (fines + reputation).
X	'More competitors always means lower prices.' Many firms respond with non-price competition instead.
X	'Globalisation only matters to big firms.' Gymshark went from Birmingham to ~230 countries mostly via e-commerce.
X	'External influence = automatic disaster.' The event is outside the firm's control; the response is what exam marks are for.

Teacher page — quiz answer pointers

External Influences on Business

QUIZ ANSWER POINTERS

1.	Higher wage bill; knock-on rises to keep pay gaps. Responses: productivity, automation, small price rises, thinner margins.	4.	Fewer lines → bigger volume per line, simpler logistics, less waste → lower unit costs → lower shelf prices.
2.	Furniture = big-ticket, postponable, often bought on credit; everyday bakery items are cheap and habitual.	5.	Helps an exporter (products cheaper abroad); hurts an importer (stock bought abroad costs more).
3.	System outage stops all online revenue at once — M&S lost its online channel for 46 days; data breach adds legal/reputation damage.	6.	Loyalty schemes, own-brand quality tiers, better service/convenience, stronger brand marketing.

Want your students to face these influences for real?

The Business School is a browser-based business simulation for the classroom. In one 60-minute session, up to 5 teams (max 30 students) run their own companies: they set prices, hire staff, take out loans, file VAT and negotiate deals — while you watch every decision on a live teacher dashboard. Auto-grading and student certificates at the end. Students join with a PIN code in the browser — nothing to install.

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